



Export Education Levy Annual Report

For the financial year ended
30 June 2014

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Background

This document reports on administration of the Export Education Levy for the financial year ended 30 June 2014, as required by section 238I of the Education Act.

The Export Education Levy

In 2003 the Government introduced an industry levy to fund a wide range of development and risk management initiatives for the export education sector. The Export Education Levy is authorised according to section 238 of the Education Act 1989. Regulations prescribing the levy first came into force on 10 January 2003.

Purposes to which Levy funds may be put

Section 238I of the Education Act states the purpose of the Export Education Levy, and stipulates that:

- (1) *The purposes to which the funds of the levy may be put are as follows:*
 - (a) *the development, promotion, and quality assurance of the export education sector, which may include (without limitation) —*
 - (i) *professional and institutional development; and*
 - (ii) *marketing; and*
 - (iii) *implementation of scholarship schemes; and*
 - (iv) *research, and resource development; and*
 - (v) *support (financial or otherwise) of other bodies engaged in the development, promotion, or quality assurance of the export education sector;*
 - (b) *the making of payments as set out in subsections (1A) and (1B);*
 - (c) *the administration and audit of the code;*
 - (d) *the general administration of the levy and associated purposes.*
- (1A) *Subsection (1B) applies if —*
 - (a) *an international student is or was enrolled with a private training establishment for a course of study or training; and*
 - (b) *at the time of the student's enrolment the private training establishment held a current registration under Part 18; and*
 - (c) *the private training establishment has not, cannot, or will not provide, in whole or in part, the course of study or training.*
- (1B) *If this subsection applies, the funds of the levy may be used for any of the following:*
 - (a) *to make payment to any person to ensure the reimbursement of the student, in whole or in part, for tuition fees or for any payment other than tuition fees made by or on behalf of that student to the private training establishment in respect of the student's course of study or training if, and to the extent that,*
 - (i) *the private training establishment has not refunded the tuition fees or other payment; and*

- (ii) *the agency responsible for the administration of the levy approves the reimbursement of the student as necessary and appropriate in the circumstances:*
- (b) *with the approval of the Minister, to reimburse the Crown for any sum provided by the Crown and paid to any person to ensure the reimbursement of the student, in whole or in part, for tuition fees or for any payment other than tuition fees made by or on behalf of that student to the private training establishment in respect of the student's course of study or training if, and to the extent that, -*
 - (i) *the private training establishment had not refunded the tuition fees or other payment; and*
 - (ii) *the agency responsible for the administration of the levy approved the reimbursement of the student as necessary and appropriate in the circumstances:*
- (c) *with the approval of the Minister, to reimburse, in whole or in part, the agency responsible for the administration of the levy, or any Crown entity, for –*
 - (i) *costs incurred by that agency or Crown entity in placing the student with an alternative provider; or*
 - (ii) *other costs incurred by that agency or Crown entity as a direct result of the private training establishment not providing the course of study or training.*

Government agencies' responsibilities

Ministry of Education

Annual Report to Parliament

Section 238I (3) of the Education Act refers to the requirement for an annual report on the Levy:

As soon as practicable after 1 July in each year, the agency responsible for the administration of the levy must present to the Minister an annual report on the administration of the levy, which must include audited financial statements prepared in accordance with generally accepted accounting practice; and the Minister must present a copy of the report to the House of Representatives.

Administration of the Levy collection and Trust Account

The levy is collected from education providers by the Ministry of Education and held in an Export Education Levy Trust Account, administered by the Ministry of Education. These funds are ring-fenced to ensure that strategic development work is on-going and securely resourced.

Refund of tuition fees to international students

The Ministry of Education in conjunction with the New Zealand Qualifications Authority (NZQA) has responsibility for the refund of tuition fees for international students affected by the closure of private training establishments.

New Zealand Qualifications Authority (NZQA)

Administration and audit of the Code of Practice

From 1 August 2013 the responsibility for the administration of the Code of Practice for the Pastoral Care of International Students, funded by the Levy, moved from the Ministry of Education to the New Zealand Qualifications Authority (NZQA).

Education New Zealand (ENZ)

Education New Zealand is responsible for operating the promotions, market research and professional development projects which are funded from the Export Education Levy, with the bulk of ENZ operations funded by the Crown through Vote Tertiary Education.

International fee-paying students

The Export Education Levy is payable by any education provider that enrolls international fee-paying students. The Levy is made up of a flat fee component of \$185 (excluding GST) payable by each provider, together with 0.45% of tuition fee income (excluding GST). State and state integrated schools pay the Export Education Levy as a component of their International Student Levy.

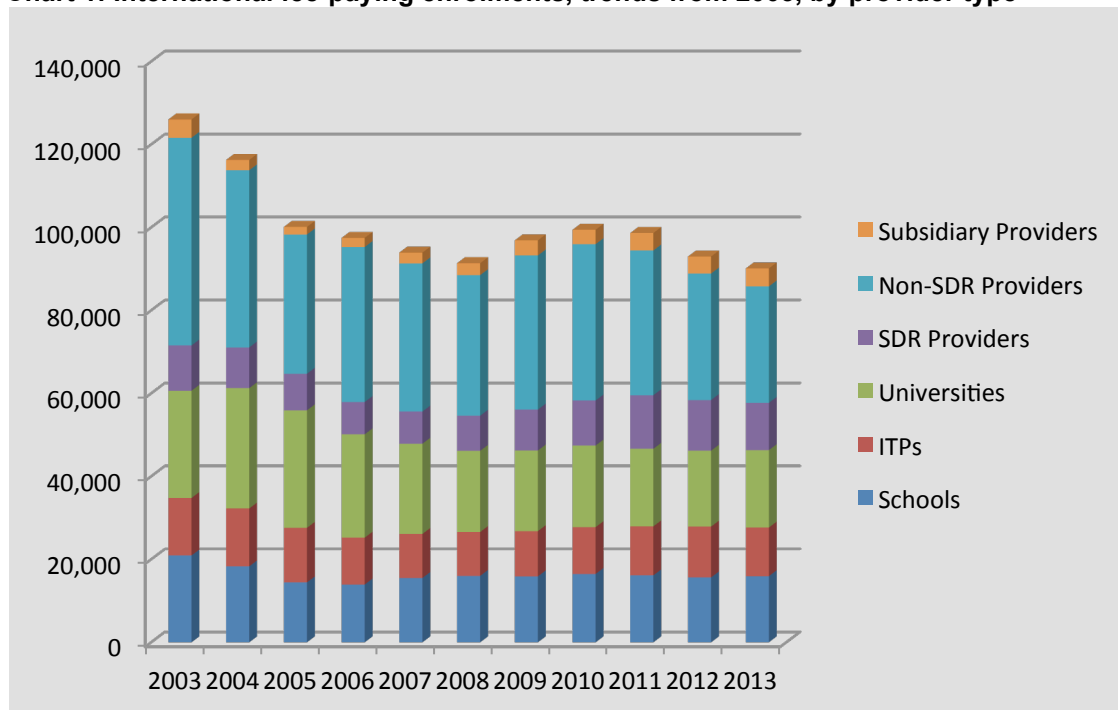
Enrolments

Student enrolment statistics are collected on a trimester basis during each calendar year. During the 2013 calendar year enrolments of international fee-paying students totalled 90,120, which was a 3.1% decrease compared to enrolments during 2012. The reduction was likely to have been partly due to the lingering effects of the Christchurch earthquake of 22 February 2011, which more than halved enrolments in Canterbury. It can also be partly attributed to the higher value of the New Zealand dollar against the \$US, the Yen and the Euro during the year. The value of the currency is known to particularly affect enrolments in 'non-SDR (i.e. unfunded) PTEs', which are mainly English language providers.

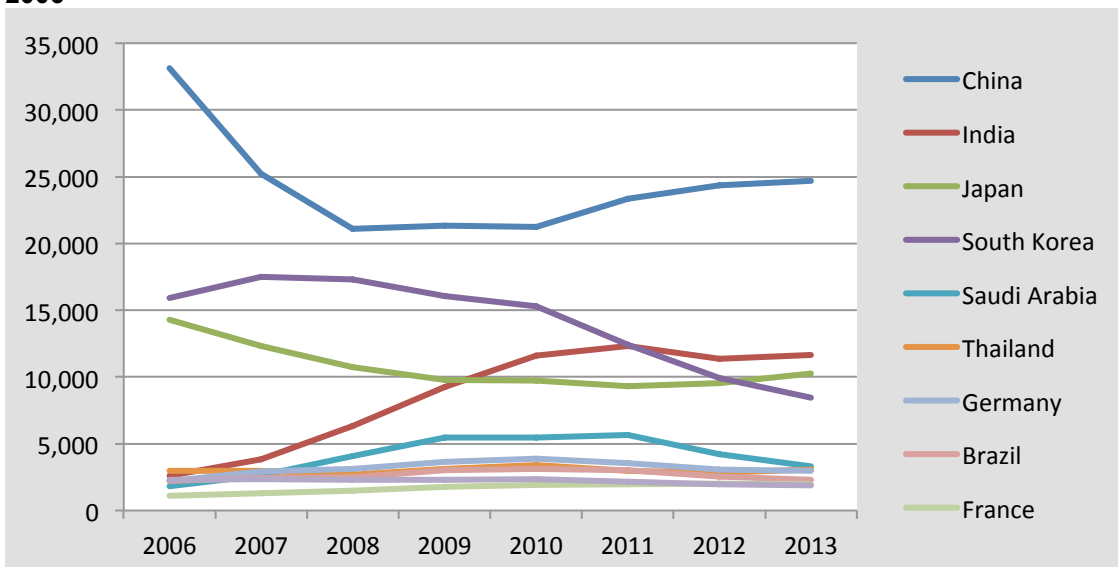
Information for the four-month period from 1 January to 30 April 2014, however, showed an overall 8% increase in international fee-paying student enrolments, compared to the same period in 2013, from 56,238 to 60,734 enrolments.

Detailed information on international student statistics can be found on www.educationcounts.govt.nz

A summary of international fee-paying student enrolments over the past 10 years is shown in Chart 1. From a peak of 126,503 enrolments in 2003 there was a 28% decline to 91,388 enrolments in 2008, a subsequent 9% recovery to 99,446 enrolments during 2010, followed by declining enrolments in the following three years.

Chart 1: International fee-paying enrolments, trends from 2003, by provider type

From 2006 the Export Education Levy system has requested information from providers on the nationalities of their students. A trend evident since 2010 has been the rise in enrolments of Chinese, and falls in South Korean students. From 2006 to 2011 there were rapid rises in students from India and Saudi Arabia. These numbers dropped off in 2012 for both source countries. There was a further drop for Saudi students in 2013 whereas the numbers of Indian students slightly increased in 2013. The numbers of Japanese international fee-paying students declined from 2006 to 2011, and have increased again since 2012.

Chart 2: Number of international fee-paying students by top ten source countries, from 2006

Notes: China includes Hong Kong, and France includes Tahiti, New Caledonia, and French Polynesia.

Tuition fee income

Total tuition fee revenue to education providers in the 2013 calendar year was \$755.3 million. This was more than 1% overall growth in tuition fee revenue from international fee-paying students over 2012. The universities earned 43% of this total, followed by private training establishments with 25%. The school sector accounted for 16% of tuition fee income.

Table 1: Tuition fee income during the calendar years 2012 and 2013

International tuition revenues by provider groups	2012 (\$ million)	2013 (\$ million)	Proportion of total, 2013	Percentage change, 2012 - 2013
Primary schools	11.3	10.4	1%	-8%
Secondary schools	110.4	111.7	15%	1%
Institutes of Technology/ Polytechnics (ITPs)	94.9	99.6	13%	5%
Universities	308.9	327.1	43%	6%
Private Training Establishments: -SDR PTEs	99.2	91.8	12%	-7%
-Non-SDR (i.e.unfunded) PTEs	105.1	97.6	13%	-7%
Subsidiary Providers	15.9	17.1	2%	7%
Totals	\$745.7	\$755.3		1%

Export Education Levy income and expenditure

Summary of income and expenditure

Income from the Export Education Levy for the year ended 30 June 2014 was \$3,654,442. This is an increase of more than 5% compared with the Levy income for the year ended 30 June 2013. Combined with the income from interest received and other income, total income was \$3,794,144

Total expenditure during the financial year was \$2,985,352. This left an operating surplus of \$808,792 as reported in the Statement of Financial Performance for the year ended 30 June 2014.

After making allowance for the operating surplus this year the total equity in the Export Education Levy Trust Account as at 30 June 2014 was \$2,712,059

Export Education Levy income by sector

The following table shows the breakdown by education sector, for the levy income between 1 July 2013 and 30 June 2014 as well as a comparison with the previous financial year. Universities contributed the highest proportion of the levy (41%).

Table 2: Export Education Levy income by sector, year ended 30 June 2014

Sector	Number of providers	Levy Income \$ excl GST	% income by sector, 2013/14	% income by sector, 2012/13
Schools	612	664,026	18%	18%
ITPs	18	454,053	12%	13%
Universities	8	1,511,195	41%	40%
Wananga	1	367	0%	0%
Private Providers	196	932,773	26%	27%
Subsidiary Providers ¹	9	92,028	3%	2%
TOTAL	844	\$3,654,442	100%	100%

¹ Subsidiary providers are separate units at some public tertiary institutions, registered schools or registered private training establishments.

Expenditure

Industry work programme

Education New Zealand (ENZ) has responsibility for managing and operating the international education industry work programme which is funded from the Export Education Levy.

During this financial year ENZ has spent \$2,265,500 of Levy funding on the industry work programmes with the objective of increasing the economic value of the industry from \$2.6 billion in 2012 to \$5.0 billion by 2025. This is consistent with a key objective of the Government's *Leadership Statement for International Education*, as released on 20 September 2011 and updated on 12 June 2014.

The international education markets targeted this financial year included China, India and Indonesia which are Tier 1 markets where there is significant government and/or industry interest. Tier 2 markets are Brazil, Chile, Malaysia, the Middle East, Korea, Japan, Thailand and Viet Nam.

Activities supported by funding from the Levy in the 2013/14 financial year are outlined below.

Research

Research was undertaken to benchmark New Zealand's tuition fees against the tuition fees charged in Canada, Australia, the United Kingdom and selected providers in Asia and Europe.

ENZ started publishing International Scanning Reports on the international education environment to develop a better understanding of the global international education industry. The reports are intended to facilitate discussion within the industry.

Copies of the research are available on: <http://www.enz.govt.nz/markets-research/latest-research>.

Brand Awareness research

Brand awareness research was undertaken in Tier 1 and Tier 2 countries to establish a baseline of awareness of New Zealand as a study destination. Brand awareness was 69 percent for Tier 1 countries (China, India and Indonesia) and was 48 percent for Tier 2 countries (Brazil, Chile Germany, Japan, Korea, Malaysia, Thailand and Viet Nam).

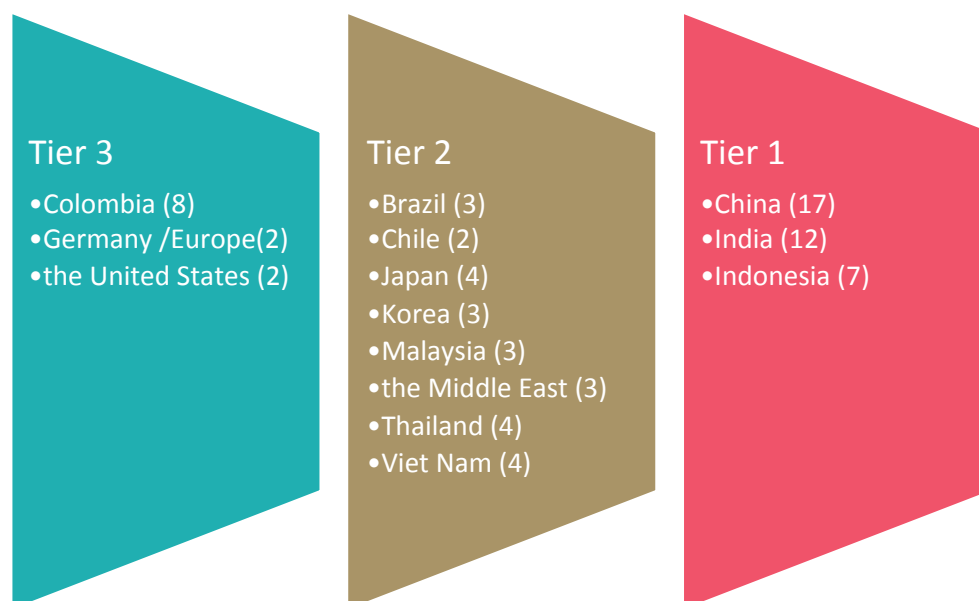
Marketing and promotions

Marketing and promotions include:

- events and agent seminars held overseas
- in-bound agent visits in regions
- alumni events
- Facebook campaigns
- search engine marketing
- other social media marketing.

Events

During 2013/14 ENZ undertook 74 events. These included agent seminars and alumni functions. The numbers of events are shown below for each tiered international education market:



ENZ organized events in 15 countries this year with 78 percent of institutions rating their overall satisfaction with ENZ events as 'satisfied' or above.

Marketing campaigns

A variety of marketing campaigns were held in the following countries:

- Digital high school media campaign (July – September) in Japan, Korea, Thailand and Viet Nam
- China – digital campaign targeting the university sector (April – June)
- India – digital campaign targeting universities, institutes of technology (ITP) and private training establishments (PTE) (May – June)
- Japan – digital edu-tourism English language campaign (May – June)
- Brazil - digital edu-tourism English language campaign (June)
- Thailand - the 'Creative & Technical: Thai Students and New Zealand' exhibition to showcase New Zealand as an innovative study destination for courses and programmes in architecture, design, engineering and the visual arts (November)
- Brazil – co-hosted two Brazilian bloggers in Otago (February – April)
- China - *Dragons in a Distant Land* documentary was screened on Chinese television in late 2013
- ongoing Search Engine Marketing investment in Tier 1, 2 and 3 markets
- ENZ hosted five education agents and a film crew in August who visited a primary school, two secondary schools, three ITPs, a PTE, a foundation school and six universities

- ENZ held 21 agent seminars, events and workshops and held two alumni events (in Japan and Korea) for the industry linked to in-country education fairs
- ENZ ran 16 New Zealand Education fairs and supported institutions attendance at four fairs run by education agents in India and 28 commercial education fairs
- ENZ held five schools roadshows in India, Indonesia and Thailand for New Zealand institutions to promote themselves to students and schools.

Under the Regional Agent Funding Programme, ENZ co-funded four New Zealand regional education groups and New Zealand's universities (as a group) to support agent familiarisation visits to the regions. The agents came from Indonesia, Japan, the Philippines, Thailand and Viet Nam. The regional groups represented the Bay of Plenty, Manawatu, Wanganui and Wellington.

Launching the New Zealand Education Story and the 'Think New' brand

The New Zealand Education Story and the 'Think New' brand were launched on 7 November 2013. The New Zealand Education Story complements the New Zealand Story and represents the international education industry's work.

The 'Think New' brand will be used by ENZ and the industry to market New Zealand as a study destination and market New Zealand's education products and services that can be delivered offshore. There are three key brand attributes:

- learn
- live
- work.

Launching a marketing toolkit for the industry

On 8 November 2013, ENZ launched 'The Brand Lab', a marketing toolkit for the industry, to complement the New Zealand Education Story and the 'Think New' brand. 'The Brand Lab' contains over 1,000 images, videos, digital advertising, brochures, posters, ads, presentations and templates that the industry, education agents and ENZ can use.

More than 1,500 people from 60 nations around the world have downloaded nearly 10,000 digital assets so far. The most popular downloads include the New Zealand Education Story video, the Think New education brochures, a directory of ITPs and the New Zealand Qualifications Authority's multilingual student guides.

Facebook launch and followers

ENZ merged its Facebook pages into one global page and per week is averaging:

- 1.5 million people viewing the content
- 30,000 people liking, commenting or sharing the content
- 3,000 new fans.

Development of ENZ Recognised Agency Programme

ENZ developed the ENZ Recognised Agency Programme to focus its services and resources on high-performing education agents and enhance in-market relationships.

Individual education agents who successfully complete the e-learning programme will be recognised as ENZ Trained Agents.

Education agencies recommended by the New Zealand international education industry and whose education agents have graduated from the e-learning programme will be acknowledged as ENZ Recognised Agencies. ENZ Recognised Agencies will be provided with a range of benefits including a listing on ENZ's Study in NZ website and an ENZ Recognised Agency logo to be used for marketing purposes.

The Programme will be launched in 2014/15.

Professional and institutional development

ENZ held 22 professional development seminars and eight country or sector specific seminars for the industry. 772 industry representatives attended the seminars in Auckland, Bay of Plenty, Christchurch, Dunedin, Hamilton, Hawkes Bay and Wellington. The attendees, representing all international education sectors, gave an overall satisfaction rating of 90 percent. Seminar topics included:

- business and marketing planning
- working with agents
- social media and digital marketing on a shoestring
- cultivating intercultural capability
- enhancing student recruitment from China.

The New Zealand International Education Conference was held in November 2013 with more than 420 industry representatives attending. The Conference theme was 'Smart Thinking' with the objectives of:

- providing a networking opportunity for the industry
- encouraging the industry to think of new ways of doing things
- showcasing the New Zealand Story and launching the New Zealand Education Story to the industry.

Survey feedback indicated that 84 percent found the Conference to be useful and relevant.

Providing support to the school sector

ENZ provided a website review service to the school sector to improve the effectiveness of school websites as they are the key tool in influencing prospective international secondary students in deciding where to study. The service was used by 96 schools from across New Zealand. Following the review, each school was provided with an individual assessment report including recommendations on how to improve the effectiveness of their website in recruiting international students.

ENZ published a short website checklist so schools could review their websites. The checklist outlines some important and necessary checks and simple fixes that schools can do right away.

ENZ provided an exemplar website that can be implemented by a school at little or no expense. The template website can easily be customised and uploaded to a school's server.

ENZ published seven case studies for schools interested in starting or further developing their international education programmes. The case studies provide expert advice for schools from leading international education practitioners within the school sector. The case studies explore marketing, staffing models and capability,

economics and financing, planning and processes, student experience, homestay and academic support, and overarching principles.

An exemplar marketing plan and audit tool was published for the school sector to provide examples of good practice. Schools will be able to use and adapt the tools to fit their own context and goals.

Reimbursement of international students

Under sections 238I(1A) and (1B) of the Education Act 1989, the Minister of Education is empowered to use Export Education Levy funds to reimburse the Crown for expenses incurred in assisting international students affected by the closure of a private training establishment.

During the financial year a total of \$27,026 was used from the Trust Account to reimburse seven international fee-paying students from four private training establishments that closed. The providers were:

- National Institute of Studies
- Oxford International Academy
- Prime International College
- TCM College of New Zealand Limited.

Administration and monitoring of the Code of Practice

The mandatory Code of Practice for the Pastoral Care of International Students (the Code) is established under section 238F of the Education Act 1989. The Act requires a provider to be a signatory to the Code in order to enrol international students. The Code was introduced on 31 March 2002 and was most recently revised on 1 November 2010.

The Ministry of Education, through its Pastoral Care office in Auckland, was responsible for administration of the Code until 1 August 2013 when the New Zealand Qualification Authority (NZQA) became the Code Administrator.

During the financial year a total of \$451,152 was spent on the administration of the Code and \$132,783 on the International Education Appeal Authority (\$133,629).

Key tasks of the Code Administrator (NZQA)

The key tasks of the Code Administrator (NZQA) involve:

- Approval of applications to become a signatory to the Code
- Monitoring of Code compliance through administration of annual self-review and self-attestation return forms, and external evaluation and review (EER) reports undertaken by NZQA for the tertiary sector, and by the Education Review Office (ERO) for the schooling sector
- Investigation of identified areas of non-compliance and areas for improvement
- Seeking to resolve pastoral care issues requiring immediate attention
- Referring serious breaches to the International Education Appeal Authority (IEAA) which may impose an appropriate sanction or may recommend to the International Education Review Panel (the Review Panel) suspension or removal of the provider as a Code signatory

- Providing Code advice to Code signatories, and liaising and cooperating with other agencies and stakeholders involved with the care and safety of international students nationally and regionally (including Education New Zealand and Immigration NZ).

Approval of signatories

During 2013/14, 6 new signatories were approved and 52 withdrew. As at 30 June 2014 there were 1,124 Code signatories. Table 3 shows signatories by sector and type of provider.

Table 3: Code Signatories by Sector and Provider Type to 30 June

	2008	2009	2010	2011	2012	2013	2014
Primary	517	518	523	528	529	525	494
Secondary	300	301	300	301	298	294	301
Composite	68	69	69	67	74	73	60
Total schools	885	888	892	896	901	892	855
Public Tertiary							
Education Institutions	30	29	29	30	30	30	28
Subsidiary Providers	9	9	7	7	6	5	10
Private Providers	285	272	270	269	260	243	231
Total tertiary	324	310	306	306	296	278	269
Total number of signatories	1,209	1,198	1,198	1,202	1,197	1,170	1,124

Ongoing monitoring of signatories

School sector overview

During the financial year the Education Review Office (ERO) reviewed and reported on the quality of education and care for international students in 148 schools where at least one international student was enrolled. There were no reports by ERO to NZQA of non-compliance with the Code. ERO has published a National ERO report outlining more detailed information related to the successes and issues with the education and care of international students. The format of the annual self-review and attestation for schools who are Code signatories has been revised in partnership with ERO.

Tertiary overview

The New Zealand Qualifications Authority (NZQA) includes a focus area on educational outcomes for international students within every External Evaluation and Review (EER) undertaken with Code signatories. A review of Code requirements is also part of all Validation Visits undertaken by the Risk Team. All Code-specific queries and issues regarding tertiary students are addressed by the Risk Team.

International Education Appeal Authority

The International Education Appeal Authority (IEAA), which has three panel members, adjudicates on complaints received from international students or their authorised representatives, or referred to it by the Code Administrator concerning alleged breaches of the Code.

In 2013/14 the IEAA received 25 new complaints from international students. This continued a trend of decreasing numbers of complaints received since 2009, when the IEAA received 246 complaints, mainly around fee refunds.

Fourteen of the 25 complaints (56%) concerned the refunding of fees. The remaining complaints were around issues such as enrolment, expulsion, academic and visa issues.

Table 4: Complaints lodged with IEAA to 30 June

Financial Year	2008	2009	2010	2011	2012	2013	2014
Number of Complaints	71	246	175	91	83	76	25

Table 5: Complaints to IEAA for year ended 30 June 2014 by Provider Type

Provider Type	Number
Primary school	0
Secondary/Composite school	4
Public Tertiary Education Institution	5
English Language School	5
other Private Training Establishments	11
Total	25

International Education Review Panel

The International Education Review Panel considers recommendations made by the IEAA when a signatory has committed a serious breach of the Code, or has not satisfactorily complied with a sanction imposed. The Review Panel submits annual reports to the Ministry of Education. No cases were referred by the IEAA to the Review Panel in 2013/14.

Administration of the Export Education Levy

The administration of the Export Education Levy is carried out by the Ministry of Education. Costs include the administration of levy collection, management of the Levy Trust Account funds, policy work associated with the Levy, computer hardware and software costs and the publication of the annual report. Expenditure on administration during the year ended 30 June 2014 totalled \$100,151.

Policy development

New Code of Practice for the Pastoral Care of International Students

The Ministry of Education has led the work to seek legislative amendments to enable the making of a new Code of Practice for the Pastoral Care of International Students, and the establishment of a new international student contract disputes resolution scheme.

The Education Amendment Bill (No 2) was introduced to the House on 10 March 2014 and contains provisions for strengthening the legal framework governing the care and support of international students, and improving the responsiveness of the education system to the needs of international students.

The Bill contains amendments that:

- enable improvements to be made to the “Code of Practice for the Pastoral Care of International Students”;
- enable more targeted intervention in situations where education providers are not complying with their obligations under the “Code of Practice for the Pastoral Care of International Students”;
- create more effective and efficient sanctions for breaches of the “Code of Practice for the Pastoral Care of International Students” by education providers; and
- establish an independent contract disputes resolution scheme for international students and education providers.

After receiving and considering submissions on the Bill, and the Departmental Report, the Education and Science Select Committee reported back to the House on 14th July 2014.

Export Education Levy

**Financial statements for the year
ended 30 June 2014**

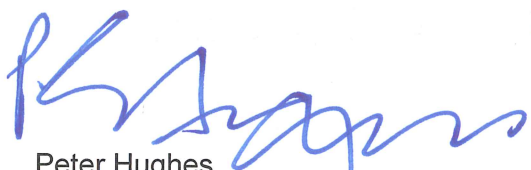
Statement of responsibility

In Terms of Section 238I (3) of the Education Act 1989

The Ministry of Education as the agency responsible for administering the Export Education Levy has prepared these financial statements. The Secretary for Education accepts responsibility for the preparation of the annual financial statements and they have been prepared in accordance with generally accepted accounting practice.

Appropriate systems of internal control have been employed to ensure that all transactions are executed with appropriate authorisation, that all transactions are correctly processed and accounted for in the financial records, and that the assets are properly safeguarded.

In our opinion, the financial statements fairly reflect the financial position as at the end of the financial year and the financial performance and cash flows for the financial year ended 30 June 2014. We authorise the issuance of these financial statements on 9 February 2015.



Peter Hughes
Secretary for Education
09/02/2015



Tina Cornelius
Chief Financial Performance Officer
9/2/2015

INDEPENDENT AUDITOR'S REPORT

TO THE READERS OF EXPORT EDUCATION LEVY'S FINANCIAL STATEMENTS FOR THE YEAR ENDED 30 JUNE 2014

The Auditor-General is the auditor of the Export Education Levy (the Levy). The Auditor-General has appointed me, Stuart Mutch, using the staff and resources of Ernst & Young, to carry out the audit of the financial statements of the Levy on her behalf.

We have audited the financial statements of the Levy on pages 20 to 32, that comprise the statement of financial position as at 30 June 2014, the statement of financial performance, statement of movement in equity and statement of cash flows for the year ended on that date and the notes to the financial statements that include accounting policies and other explanatory information.

Opinion

In our opinion the financial statements of the Levy on pages 20 to 32:

- comply with generally accepted accounting practice in New Zealand; and
- fairly reflect the Levy's:
 - financial position as at 30 June 2014; and
 - financial performance and cash flows for the year ended on that date.

Our audit was completed on 9 February 2015. This is the date at which our opinion is expressed.

The basis of our opinion is explained below. In addition, we outline the responsibilities of the Ministry of Education and our responsibilities, and we explain our independence.

Basis of opinion

We carried out our audit in accordance with the Auditor-General's Auditing Standards, which incorporate the International Standards on Auditing (New Zealand). Those standards require that we comply with ethical requirements and plan and carry out our audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

Material misstatements are differences or omissions of amounts and disclosures that, in our judgement, are likely to influence readers' overall understanding of the financial statements. If we had found material misstatements that were not corrected, we would have referred to them in our opinion.

An audit involves carrying out procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on our judgement, including our assessment of risks of material misstatement of the financial statements whether due to fraud or error. In making those risk assessments, we consider internal control relevant to the Levy's preparation of the financial statements that fairly reflect the matters to which they relate. We consider internal control in order to design audit procedures that are appropriate in the circumstances but not for the purpose of expressing an opinion on the effectiveness of the Levy's internal control.

An audit also involves evaluating:

- the appropriateness of accounting policies used and whether they have been consistently applied;
- the reasonableness of the significant accounting estimates and judgements made by the Ministry of Education;
- the adequacy of all disclosures in the financial statements; and

- the overall presentation of the financial statements.

We did not examine every transaction, nor do we guarantee complete accuracy of the financial statements. Also we did not evaluate the security and controls over the electronic publication of the financial statements.

We have obtained all the information and explanations we have required and we believe we have obtained sufficient and appropriate audit evidence to provide a basis for our audit opinion.

Responsibilities of the Ministry of Education

The Ministry of Education is responsible for preparing financial statements that:

- comply with generally accepted accounting practice in New Zealand; and
- fairly reflect the Levy's financial position, financial performance and cash flows.

The Ministry of Education is also responsible for such internal control as it determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error. The Ministry of Education is also responsible for the publication of the financial statements, whether in printed or electronic form.

The Ministry of Education's responsibilities arise from Section 238I(3) of the Education Act 1989.

Responsibilities of the Auditor

We are responsible for expressing an independent opinion on the financial statements and reporting that opinion to you based on our audit. Our responsibility arises from section 15 of the Public Audit Act 2001.

Independence

When carrying out the audit, we followed the independence requirements of the Auditor-General, which incorporate the independence requirements of the External Reporting Board.

Other than the audit, we have no relationship with or interests in the Levy.



Stuart Mutch
Ernst & Young
On behalf of the Auditor-General
Wellington, New Zealand

Statement of accounting policies

Reporting entity

The Export Education Levy is a scheme administered by the Ministry of Education in accordance with section 238H of the Education Act 1989.

These financial statements have been prepared in accordance with section 238I of this Act, that being New Zealand Generally Accepted Accounting Practice.

Measurement base

The measurement base adopted is historical cost unless otherwise stated.

The financial statements are presented in New Zealand dollars and all values are rounded to the nearest dollar (\$) unless otherwise stated.

Specific accounting policies

Financial instruments

The Ministry of Education as agent for the levy is a party to a variety of financial instrument arrangements as part of its everyday operations.

A financial instrument is any contract that gives rise to both a (recognised and unrecognised) financial asset of one entity and a (recognised or unrecognised) financial liability of another, or is any contract that evidences a residual interest in the assets of an entity after deducting all of its liabilities.

Financial instruments include accounts payable, receivables and cash. These have been recognised in the Statement of Financial Position.

Revenues and expenses in relation to these financial instruments are recognised in the Statement of Financial Performance.

Revenue

Revenue is derived from levies paid by participating educational institutions and interest on the funds held.

This revenue is recognised when it is earned and is reported in the financial period to which it relates.

Expenditure

Expenses are largely derived from costs incurred by Education New Zealand and the operation of the Code of Practice office. Education New Zealand operates a work programme on behalf of the industry in the areas of professional development, marketing and research. This is recognised as an expense when the Export Education Levy Trust refunds the Ministry of Education who initially pay Education New Zealand.

When education providers fail without fulfilling their contractual obligation to international students, the Export Education Levy provides support by refunding tuition fees to affected students. This is recognised as an expense when the Export

Education Levy Trust fund refunds the Ministry of Education who initially pay the expense.

Accounts receivable

Accounts receivable are stated at net realisable value.

Cash

Cash consists of cash at bank and is recognised at its fair value.

Accounts payable

Accounts payable are stated at cost.

Goods and Services Tax

The Ministry of Education as agent for the levy is a registered person in terms of the Goods and Services Tax Act 1985. All statements are GST exclusive except for Accounts Payable and Accounts Receivable in the Statement of Financial Position.

Statement of cash flows

The year end bank balance in the Statement of Cash Flows consists of bank accounts that form part of the day-to-day cash management of the Ministry as agency for the levy.

The cash flows are classified into two activities:

a) Operating Activities

Includes cash received from all income sources including the Export Education Levy, bank interest and cash payments made for the supply of goods and services.

b) Investing Activities

The sources and use of this cash include the purchase of operational fixed assets.

Comparatives

Where changes in presentation of the financial statements have been made, comparative figures have been amended to reflect the changes.

Changes in accounting policies

There have been no changes in accounting policies. All policies have been applied on bases consistent with those used in the previous year.

EXPORT EDUCATION LEVY
STATEMENT OF FINANCIAL POSITION
AS AT 30 JUNE 2014

Description of Statement

The Statement of Financial Position reports the total assets and liabilities of the Export Education Levy.

The difference between the assets and the liabilities is the equity.

	Notes	30/06/14 Actual \$	30/06/13 Actual \$
Equity		<u>2,712,059</u>	<u>1,903,267</u>
Which is represented by:			
Current Assets			
Cash at Bank	1	3,425,605	2,313,795
Accounts Receivable	2	695	17,947
Levy Income Due but Not Received		187,680	199,467
GST Receivable		82,094	87,815
Total current assets		<u>3,696,074</u>	<u>2,619,024</u>
Less			
Current Liabilities			
Accounts Payable		(522,752)	(217,110)
Accrued Creditors		(9,300)	(97,701)
Levies Received in Advance		(451,963)	(400,946)
Total current liabilities		<u>(984,015)</u>	<u>(715,757)</u>
Net Assets		<u><u>2,712,059</u></u>	<u><u>1,903,267</u></u>

The accounting policies and notes are an integral part of the statement

EXPORT EDUCATION LEVY
STATEMENT OF FINANCIAL PERFORMANCE
FOR THE YEAR ENDED 30 JUNE 2014

Description of Statement

The Statement of Financial Performance details the income and expenditure relating to all goods and services produced by the Ministry as agency for the Export Education Levy.

	Notes	30/06/14 Actual \$	30/06/13 Actual \$
Income			
Export Education Levies		3,654,442	3,471,238
Interest Received		41,058	53,348
Other income		98,644	19,132
Total Income		3,794,144	3,543,718
Expenditure			
Audit Fee		7,900	7,900
Export Education	3	2,977,418	3,358,867
Other Costs		34	49
Total Expenditure		2,985,352	3,366,816
Net Surplus/(Deficit)		808,792	176,902

The accounting policies and notes are an integral part of the statement

EXPORT EDUCATION LEVY
STATEMENT OF MOVEMENTS IN EQUITY
FOR THE YEAR ENDED 30 JUNE 2014

Description of Statement

The Statement of Movements in Equity combines information about the net surplus with other aspects of the financial performance of the Export Education Levy to give a degree of measure of comprehensive income. This, together with the Statement of Financial Position, provides information for assessing the return on investment in the Export Education Levy.

	30/06/14 Actual \$	30/06/13 Actual \$
Equity brought forward as at 1 July 2013	1,903,267	1,726,365
Add net surplus/(Deficit)	808,792	176,902
Total Recognised Revenues and Expenses for the Year	808,792	176,902
Total Equity as at 30 June 2014	<u>2,712,059</u>	<u>1,903,267</u>

The accounting policies and notes are an integral part of the statement

EXPORT EDUCATION LEVY
STATEMENT OF CASH FLOWS
FOR THE YEAR ENDED 30 JUNE 2014

Description of Statement

The Statement of Cash Flows summarises the cash movements in and out of the Export Education Levy Trust Account during the year.

	Note	30/06/14 Actual \$	30/06/13 Actual \$
Operating Activities			
Cash was Received From			
Export Education Levy		3,717,245	3,485,847
Interest		48,015	56,573
Other Income		98,642	19,132
GST		45,497	-
		3,909,399	3,561,552
Cash was Expended on			
Production of Outputs			
Personnel		(99,394)	(135,067)
Operating		(2,698,195)	(4,725,187)
GST		-	(262,464)
		(2,797,589)	(5,122,718)
Net Cash Flows From Operating Activities	4	1,111,810	(1,561,166)
Cash at year start		2,313,795	3,874,961
Cash at year end		3,425,605	2,313,795
Represented by Cash at Bank		3,425,605	2,313,795

The accounting policies and notes are an integral part of the statement

Statement of Commitments

There are no commitments at 30 June 2014 (Nil for the year ended 30 June 2013)

Statement of Contingent Assets

There are no contingent assets at 30 June 2014 (Nil for the year ended 30 June 2013)

Statement of Contingent Liabilities

There are no contingent liabilities at 30 June 2014 (Nil for the year ended 30 June 2013)

Notes to the Financial Statements

Note 1 - Cash at Bank

	30/06/14 Actual \$	30/06/13 Actual \$
Cheque Account	2,895,290	1,800,189
Short Term Investments	530,315	513,606
Total Bank	<u>3,425,605</u>	<u>2,313,795</u>

Note 2 - Accounts Receivable

	30/06/14 Actual \$	30/06/13 Actual \$
Accounts Receivable	695	-
Accrued Debtors	-	10,990
Accrued Interest	-	6,957
Total Accounts Receivable	<u>695</u>	<u>17,947</u>

Note 3 - Export Education Levy Costs

	Notes	30/06/14 Actual \$	30/06/13 Actual \$
Professional & Industry Development	5	270,000	714,791
Promotions/Marketing	6	1,535,000	1,156,900
Research	7	340,000	284,600
Other	8	221,457	246,342
Code of Practice	9	583,935	518,109
Support for students affected by failure of providers		27,026	438,125
Total Export Education Levy Costs		<u>2,977,418</u>	<u>3,358,867</u>

Note 4 - Reconciliation of Net Surplus with Cash Flows from Operating Activities**Description of Reconciliation**

This reconciliation discloses the non-cash adjustments included in determining the net operating surplus reported in the Statement of Financial Performance to arrive at the net cash flows from operating activities disclosed in the Statement of Cash Flows.

	30/06/14	30/06/13
	Actual	Actual
	\$	\$
Reported Net Surplus/(Deficit)	808,792	176,902
Add/(Less) Movements in Working Capital Items		
Increase/(Decrease) in Accounts Receivable	(695)	1,620
Increase/(Decrease) in Doubtful Debts	-	-
Increase/(Decrease) in Accrued Debtors	10,991	219,725
Increase/(Decrease) in Interest Receivable	6,957	3,225
Increase/(Decrease) in Levy Income Due but Not Received	11,787	8,957
Increase/(Decrease) in Accounts Payable	305,642	(1,904,994)
Increase/(Decrease) in Accrued Creditors	(88,401)	(57,975)
Increase/(Decrease) in Levy Received in Advance	51,016	5,571
Increase/(Decrease) in Net GST	5,721	(14,197)
	303,018	(1,738,068)
Net Cash Flows from Operating Activities	1,111,810	(1,561,166)

Note 5 - Professional & Industry Development	30/06/14 Actual \$	30/06/13 Actual \$
Conferences	60,000	24,750
International Education Growth Fund	-	519,391
Stakeholder advisory committee travel	6,000	5,500
Workshops, seminars and events	82,000	88,750
Agent training	122,000	76,400
Total Professional Development	<u>270,000</u>	<u>714,791</u>

Note 6 - Promotions/Marketing	30/06/14 Actual \$	30/06/13 Actual \$
Agent familiarisation visits	75,000	77,400
Events held in other countries	310,000	379,200
Network development	40,000	-
Published material	380,000	-
Social media marketing	310,000	480,800
Marketing projects	60,000	124,700
Website development and maintenance	90,000	94,800
Digital marketing campaign	270,000	-
Total Promotion	<u>1,535,000</u>	<u>1,156,900</u>

Note 7 - Research	30/06/14 Actual \$	30/06/13 Actual \$
Economic value of international students	-	8,200
Market research	340,000	276,400
Total Research	<u>340,000</u>	<u>284,600</u>

Note 8 - Other

	30/06/14 Actual \$	30/06/13 Actual \$
Levy programme management - ENZ	120,500	109,209
Printing of annual report	225	230
Levy policy staff costs	31,966	45,099
Levy administration costs	67,433	90,399
Software maintenance	527	253
Other services and contracts	806	1,152
Total Other Expenses	<u>221,457</u>	<u>246,342</u>

Note 9 - Code of Practice

	30/06/14 Actual \$	30/06/13 Actual \$
Administration of Code	451,152	427,301
International Education Appeal Authority (IEAA)	133,629	81,587
Review Panel	(846)	7,221
Resources	-	2,000
Total Code Office	<u>583,935</u>	<u>518,109</u>

Note 10 - Administration of Code

	30/06/14 Actual \$	30/06/13 Actual \$
Personnel	313,617	349,829
Travel and meetings	36,279	30,432
Communications	2,031	1,301
Office expenses	97,390	45,739
Resources	1,835	-
Total Code Office	<u>451,152</u>	<u>427,301</u>

Note 11 - Financial Instruments*Credit Risk*

Financial instruments which potentially subject the Export Education Levy to credit risk principally consist of bank balances and accounts receivable.

The Export Education Levy does not hold any collateral for any of its assets subject to credit risk.

Maximum Credit Risk Exposure

	30/06/14	30/06/13
	Actual	Actual
	\$	\$
Bank	3,425,605	2,313,795
Accounts Receivable	695	17,947
Total Maximum Credit Risk Exposure	<u>3,426,300</u>	<u>2,331,742</u>

The above maximum exposures are net of any recognised provision for losses on these financial instruments.

Concentrations of Credit Risk

All bank balances are held with the same bank. There are no other concentrations of credit risk.

Interest Rate risk

Included within the bank balance is \$530,315 (2013: \$513,606) held on term deposit at a weighted average interest rate of 3.35% (2013: 3.44%). All term deposits have maturity dates less than 1 year.

Fair Value

The fair value of all financial instruments is equivalent to the carrying value disclosed in the Statement of Financial Position.

Note 12 - Related Party Disclosure

The Ministry of Education is a related party of the Export Education Levy. The Ministry of Education administers the Export Education Levy and provides policy advice to the government. These services are provided on an arm's length basis.

The majority of the transactions with the Ministry of Education are reimbursements for payments made by the Ministry to third party providers.

	Notes	30/06/2014	30/06/2013
Expense transactions with the Ministry of Education	5-9	2,950,392	2,920,742
Accounts payable to the Ministry of Education		532,052	314,811

Note 13 - Segment Information

The Export Education Levy operates in the Export Education industry. All operations are carried out within New Zealand.

